

Customer Write-off Process in D365 F&O

A Comprehensive Guide

Introduction

The process of writing off customer accounts in Microsoft Dynamics 365 Finance & Operations (D365 F&O) is a critical aspect of financial management. It ensures that uncollectible receivables are accurately reflected in the company's financial statements. This guide provides a step-by-step overview of how to manage customer write-offs in D365 F&O.

Understanding Customer Write-offs

Customer write-offs occur when a company determines that an outstanding receivable is unlikely to be collected. This determination can be due to several reasons, such as customer bankruptcy, disputes, or prolonged non-payment. Writing off these amounts helps maintain accurate financial records and provides a true picture of the company's financial health.

Configurations

➤ Define customer write off journal

- Go to Accounts receivable > Setup > Accounts receivable parameters > collections fast tab > Write off section. or Credit and Collections> Setup > Credit and Collections parameters > collections fast tab > Write off section.
- Select Write off journal. (Note: This is the 'Daily' type of General Journal)

Finance and Operations Accounts receivable > Setup > Accounts receivable parameters USMF

Standard view

Accounts receivable parameters

Set up options for collections and collection letters

Collection letter

Interest and fees

Write-off

Write-off journal
WriteOff

Base amount for sales tax
☐ No

Separate sales tax
☐ No

Default write-off reason
WRITEOFF 618170

Collections defaults

Email template

Transactions to contact Statement to contact Transactions to sales person

➤ Define default write off reason code

- Go to Accounts receivable > Setup > Customer write-off reason codes
- Create new reason code and add write off GL account.
- Enable default checkbox.

Finance and Operations Accounts receivable > Setup > Customer write-off reason codes

Customer write-off reason codes

Standard view *

Filter

Company	Reason code	Description	Write-off account	Default
usmf	WRITEOFF	Write-off customer balance	618170	☒

➤ Other Setup

- In Account receivable parameters > Collection tab > write off section there are two more option available i.e.
- **Separate Sales Tax** - Set this option to **Yes** if user want to separate the sales tax from the original transaction in the write-off.
- **Base amount for Sales Tax** - Set this option to **Yes** if user wants a separate entry for sales tax is posted, and the base amount is a non-zero amount.

Process of Customer write off open balances.

There are 4 forms available in D365 F&O to write off customer open balances:

➤ Aged balances

- Go to Credit and Collections > Collections > Aged balances.
- Select the customer line that user want to write off and click on Write off button.
- Select write off date and click on Ok button.
- System will create write off journal in General ledger > journal entries > general journals.
User can post manually or using the batch job.

The screenshot shows the 'Aged balances' form in the 'Finance and Operations' application. The 'Journals' section contains a 'Write off' button, which is highlighted with a red box. Below this, the 'Standard view' of aged balances is displayed, showing a table of customer accounts with their current balances and aging periods.

Name	Customer account	Customer cred...	Amount due b...	Current	30 days	60 days	90 days	120
Birch Company	US-027		2,150.61	0.00	0.00	0.00	0.00	0.00
Blade Therapeutics, Inc	C0123		62,092.12	0.00	0.00	0.00	0.00	62,092.12
Candlestick Park	US-403		13,406.25	13,406.25	0.00	0.00	0.00	0.00
Cave Wholesales	US-004		37,361.94	0.00	0.00	0.00	0.00	26,129.94
Contoso Europe	DE-001		30,888.00	0.00	0.00	30,888.00	0.00	0.00

➤ Collections

- Go to Credit and Collections > Collections > Aged balances.
- Click on customer name for which user wants to write off specific invoice

Finance and Operations										
Credit and collections > Collections > Aged balances										
USMF										
Collect Communicate General Options										
New Manage Journals View Action Event Update aging Write off Transactions Collections history Appointment Task New collection letters Collection letter journal Activities Customer credit group Calculate interest Interest journal Cases										
Aged balances										
Standard view										
Filter Pool Aging period definition Currency for aging 30_60_90_180 Accounting currency										
Name	Customer account	Customer cred...	Amount due b...	Current	30 days	60 days	90 days	120	180 and	
Birch Company	US-027		2,150.61	0.00	0.00	0.00	0.00	0.00	2,150	
Blade Therapeutics, Inc	C0123		62,092.12	0.00	0.00	0.00	0.00	62,092.12		
Candlestick Park	US-403		13,406.25	13,406.25	0.00	0.00	0.00	0.00	0.00	
Cave Wholesales	US-004		37,361.94	0.00	0.00	0.00	0.00	26,129.94	11,232	
Contoso Europe	DE-001		30,888.00	0.00	0.00	30,888.00	0.00	0.00		
Contoso Retail Chicago	US-015		159,375.00	0.00	0.00	0.00	0.00	0.00	159,375	
Contoso Retail Detroit	US-018		31,800.00	0.00	0.00	0.00	0.00	0.00	31,800	

- Select voucher and click on Write off.
- click on Write off button.
- Select write off date and click on Ok button.
- System will create write off journal in General ledger > journal entries > general journals.
User can post manually or using the batch job.

Finance and Operations										
Credit and collections > Collections > Aged balances										
USMF										
Action Appointment Event Task Collect Communicate General Options										
Manage Journals View Select Documents Close case Reimburse Transactions Aging period definition Customer Case Activity Transactions Update aging Calculate interest Collection letter journal Customer Collections history Currency Company Interest journal Statement										
Collections Standard view										
US-403 : Candlestick Park										
Details Notes										
Link marked records Unlink marked records Show all										
Open transactions										
Change status Show NSF payment Write off Settle Reprint View collections history Show linked										
Voucher	Date	Invoice	Bill ID	Amount in transaction cur...	Balance	Currency	Collections status			
CMV-40000013	6/26/2024	FTC-000013		2,681.25	-2,681.25	USD	Not disputed			
FTV-30000082	6/26/2024	FTI-00000086		16,087.50	16,087.50	USD	Not disputed			

➤ Open customer invoices

- Go to Accounts Receivable> Invoices > Open customer invoices.
- Select the invoice that needs to be written off and click on Write off button.
- Select write off date and click on Ok button.

- System will create write off journal in General ledger > journal entries > general journals. User can post manually or using the batch job.

Finance and Operations Accounts receivable > Invoices > Open customer invoices

New Totals Vouchers Transactions **Invoice** Options

View	Settle	Collect	Ship	Details	Intercompany
Payments Interest notes Collection letters	Settle open transactions Closed transaction editing	New collection letters Print/Post letters New interest note	Shipping specifications Bill of lading	Charges Posted sales tax Commission transactions	Synchronize batch/serial numbers Invoice posting
		Print/Post interest notes Write off View collections history			

Open customer invoices

Standard view

Filter Show billing classifications Include credit notes ☐ No

Invoice	Customer account	Name	Date	Due date	Invoice amount	Currency	Billing clas
CIV-00000875	000052	IBM Inc	8/25/2022	9/24/2022	66.67	USD	
CIV-00000879	000052	IBM Inc	8/25/2022	9/24/2022	40.00	USD	
CIV-00000880	000052	IBM Inc	8/25/2022	9/24/2022	12.00	USD	
CIV-00000881	000052	IBM Inc	8/25/2022	9/24/2022	80.00	USD	
CIV-00000882	000052	IBM Inc	8/26/2022	9/25/2022	40.00	USD	
CIV-00000883	000052	IBM Inc	8/26/2022	9/25/2022	80.00	USD	
CIV-00000884	000052	IBM Inc	8/26/2022	9/25/2022	80.00	USD	

➤ All Customer

- Go to Accounts Receivable > Customers > All customers.
- In action pane > Collect tab > customer balances > Write off
- Click on Write off button.
- Select write off date and click on Ok button.
- System will create write off journal in General ledger > journal entries > general journals. User can post manually or using the batch job.
- Using this option user can not select specific invoice for selected customer. All open invoices will write off. If any open invoices is already marked for settlement then system will show error message and user can write off only open transactions that are not marked for settlement.

The screenshot displays the Dynamics 365 Finance and Operations user interface. At the top, the breadcrumb navigation path is 'Credit and collections > Customers > All customers'. The 'Collect' menu item is highlighted in the top navigation bar. Below this, the 'Statements' sub-menu is open, and the 'Write off' option is selected and highlighted with a red box. The main area shows the 'All customers' list in 'Standard view'. A table lists customer accounts with columns for Account, Name, Invoice account, Customer group, Currency, and Telephone. The 'Holding Account' (000027) is selected.

Account	Name	Invoice account	Customer group	Currency	Telephone
000002	TEST Customer Record 2	123366	20	USD	585122346
000026	Carrier A		10	USD	123-456-7890
000027	Holding Account		20	USD	
000052	IBM Inc		20	USD	
000076	IBM LATAM	000052	20	MXN	
000077	Microsoft		20	USD	312-990-0099
000126	Ronald Corp		20	USD	

Conclusion

The customer write-off process in D365 F&O is a vital component of financial management, ensuring that uncollectible receivables are accurately accounted for. By following the steps outlined in this guide, organizations can efficiently manage write-offs, maintain accurate financial records, and uphold strong internal controls. Regular review and reporting of write-offs will further enhance the company's financial health and provide valuable insights for decision-making.

Cheers

Hope this will help.